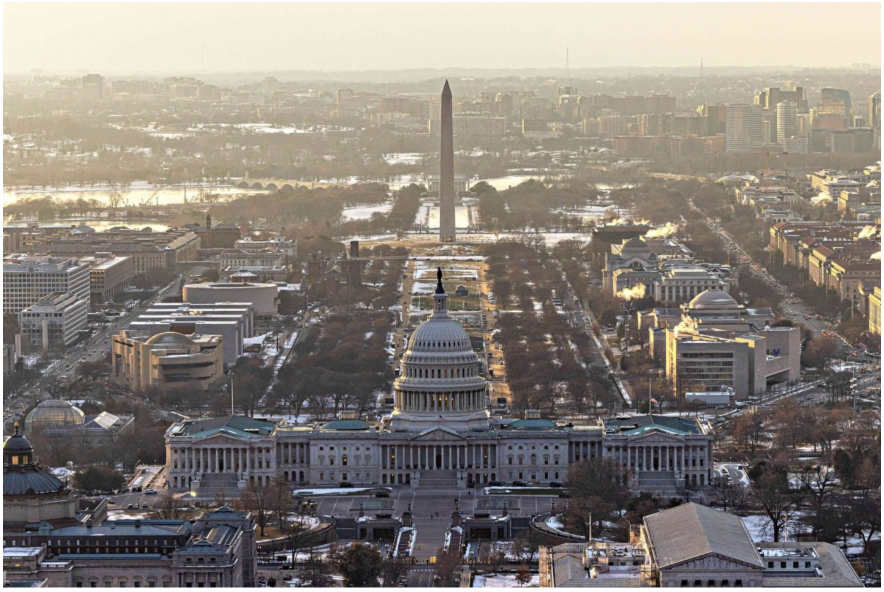
G10 FX Talking: Dollar comeback can last a bit longer

Hot US inflation can keep offering the dollar some support and test buoyant equity markets in the short term. That can lower the starting level for a relief rally in EUR/USD if and when a US-Iran deal is reached. Elsewhere, the pound will keep being tested by political risk, and we may have only seen the start of the FX intervention campaign in Japan



We think EUR/USD may have further to go before recovering

Main ING G10 FX Forecasts

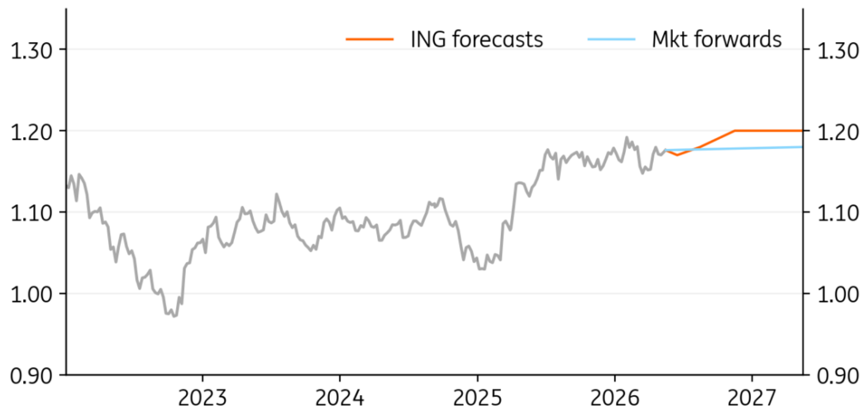
	EUR/USD		USD/JPY		GBP/USD	
1M	1.17	↑	159	↑	1.34	→
3M	1.18	↑	158	↑	1.34	→
6M	1.20	↑	155	↓	1.36	↑
12M	1.20	↑	152	↓	1.35	↑

	EUR/GBP		EUR/CHF		USD/CAD	
1M	0.87	→	0.92	↑	1.37	→
3M	0.88	↑	0.92	↑	1.36	↓
6M	0.88	→	0.92	↑	1.34	↓
12M	0.89	→	0.92	↑	1.33	↓

EUR/USD: Bracing for the bad news

	Spot	One month bias	1M	3M	6M	12M
EUR/USD	1.16	Mildly Bullish	1.17	1.18	1.20	1.20

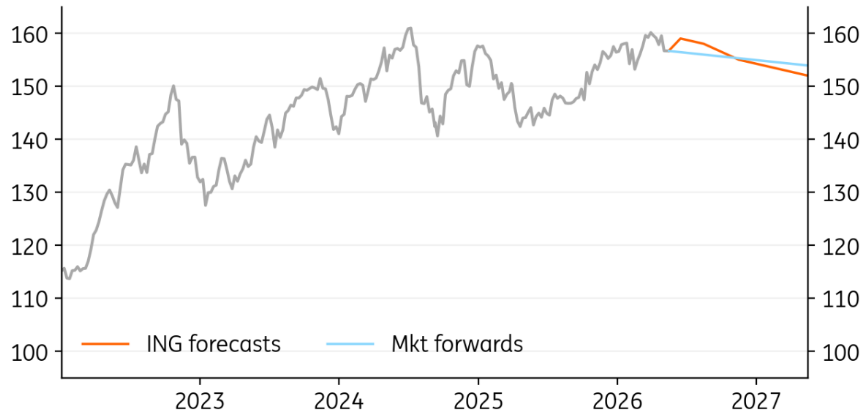
- Risk assets and currency markets have shown remarkable resilience to the energy shock. And arguably the dollar should be trading stronger based on US energy independence, surging AI-driven investment and a less dovish sounding Fed. Those positives could well build over coming months as inflation ripples around the world and stagflation hits the eurozone.
- We cannot rule out EUR/USD trading down to 1.15 again over coming months, but this is not 2022. Natural gas prices are more contained and a June hike from the ECB should help EUR.
- Risk premia going back into the USD ahead of November Mid-terms and a Fed cut in December should bring EUR/USD to 1.20.



USD/JPY: The start of a long intervention campaign

	Spot	One month bias	1M	3M	6M	12M
USD/JPY	158.41	Neutral	159.00	158.00	155.00	152.00

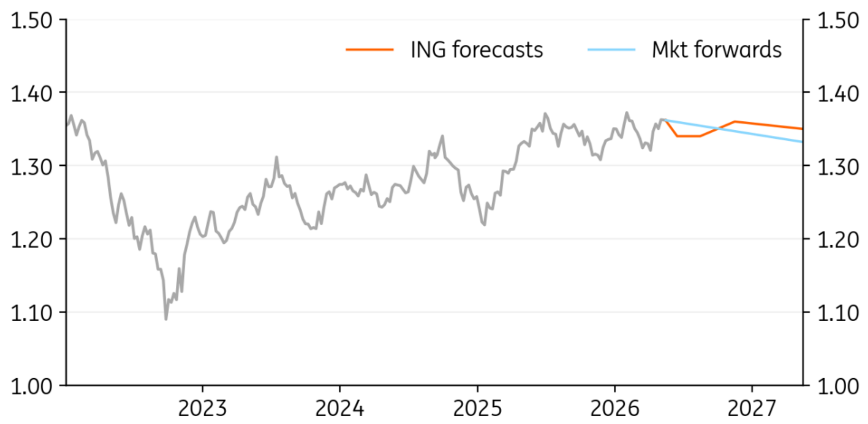
- It looks like the Bank of Japan sold around $70bn in FX intervention in late April/early May. 160 once again seems to be the line in the sand. However, FX intervention will likely prove less effective than in 2024 ($100bn sold) because: real interest rates are negative in Japan, speculators are far less short the yen and the Fed is not about to cut interest rates.
- We suspect this is the start of a long campaign to keep a lid on USD/JPY near 160. A BoJ rate hike to 1% in June, coupled with a signal of further tightening, would be supportive.
- USD/JPY only turns decisively lower when the dollar is ready to turn – and that looks like a second half 2026 story at the earliest.



GBP/USD: A long, hot summer for the pound

	Spot	One month bias	1M	3M	6M	12M
GBP/USD	1.3600	Mildly Bullish	1.34	1.34	1.36	1.35

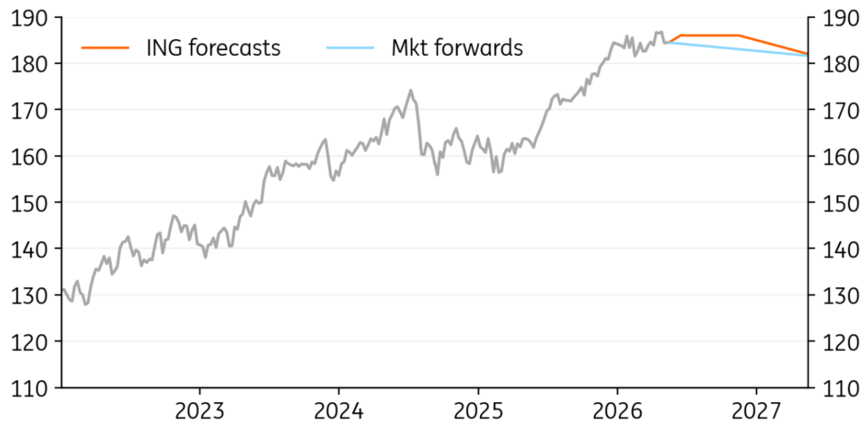
- As we go to press, the UK political situation looks fluid. The Labour Party looks like it wants a new leader, but PM Starmer is vowing to fight on. This psychodrama could take two to three months to unfold if Andy Burnham – seen as the most negative sterling candidate – enters the race to replace Starmer.
- Status quo looks the best outcome for GBP if Starmer stays, or Wes Streeting is elected with a sensible Chancellor. Most other options are GBP negative as Labour policy is pulled leftwards.
- In addition, we believe far too many Bank of England hikes are priced into markets – we look for just one hike in June this year. That outcome can keep GBP/USD well contained in its range.



EUR/JPY: No confidence in fighting the trend

	Spot	One month bias	1M	3M	6M	12M
EUR/JPY	184.4900	Mildly Bullish	186.00	186.00	186.00	182.00

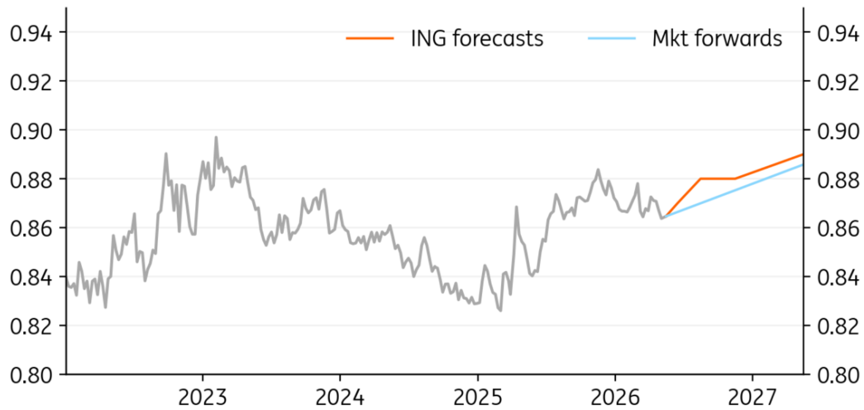
- With an inflation shock brewing, real interest rates are going to be increasingly important for currency markets. A June hike from the ECB, perhaps with a follow-up hike too, should manage to keep real euro rates neutral. Japan, on the other hand, faces deeply negative real interest rates with the fear that Japanese politicians are leaning on the BoJ to go slow.
- The above should mean a continuation in the longstanding EUR/JPY bull trend. Yet occasional bouts of BoJ FX intervention can probably keep the EUR/JPY upside quite limited.
- Were the global equity rally ever to take a raincheck, the euro – as a more pro-cyclical currency – would likely come under greater pressure.



EUR/GBP: Sterling remains vulnerable

	Spot	One month bias	1M	3M	6M	12M
EUR/GBP	0.8705	Neutral	0.87	0.88	0.88	0.89

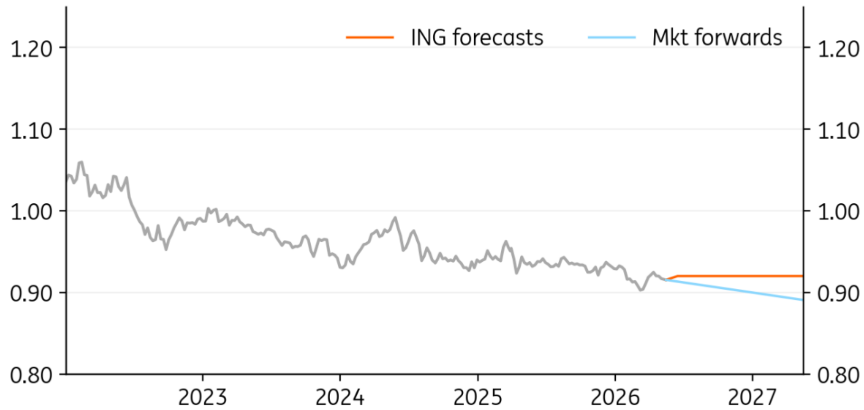
- EUR/GBP remains reasonably contained despite the dangers of UK politics. Perhaps it is short sterling positioning preventing a greater rally in EUR/GBP, although it may be sterling's high yield (3.75%) and an interest in carry given falling FX volatility.
- Both the UK and the eurozone should be hit equally hard by the oil shock. And we suspect the ECB is more committed to a tightening cycle now given that, heading into this crisis, ECB policy was neutral, while BoE policy was already restrictive.
- Politics, weak growth and a mis-priced BoE cycle suggest sterling is more vulnerable this summer. Levels above 0.88 look the direction of travel for EUR/GBP.



EUR/CHF: SNB's tries to sound relaxed over the strong franc

	Spot	One month bias	1M	3M	6M	12M
EUR/CHF	0.9100	Mildly Bullish	0.92	0.92	0.92	0.92

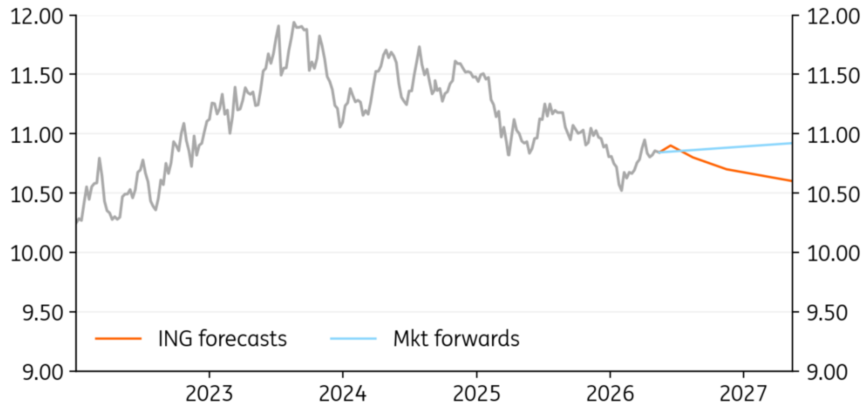
- EUR/CHF has been quiet, although is unwinding some of the gains in March made when the Swiss National Bank warned of increased FX intervention. In speeches by SNB board members we are hearing mixed messages on the franc – saying that in real terms the franc has hardly moved against the euro or the dollar since 2020.
- We do, however, think they've drawn some line in the sand near 0.90 and we should see a pick-up in FX intervention when the 1Q26 data is released at the end of June.
- Switzerland is less exposed than the rest of Europe to the oil shock given the low energy intensity of its industry. A tough summer for the eurozone can keep EUR/CHF near 0.91/92.



EUR/SEK: Riksbank to stay put for now

	Spot	One month bias	1M	3M	6M	12M
EUR/SEK	10.9700	Mildly Bearish ↘	10.90	10.80	10.70	10.60

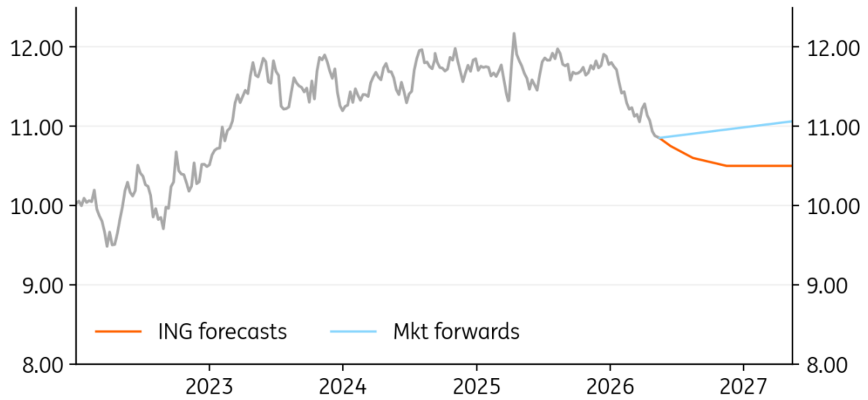
- Higher energy prices have caught up with SEK this month, but the upside volatility in EUR/SEK has remained broadly tamed.
- The Riksbank's minutes showed a slightly more hawkish tone than the April statement, but our call remains for no rate changes this year due to muted inflation. Any potential hike would likely need to wait until August or September and, in our view, would still require two ECB rate hikes.
- The wider short-term rate differential suggests a shallower EUR/SEK decline. But Sweden is less economically exposed to the energy shock than the eurozone, leaving us still a bit more constructive on SEK than EUR in 2H26.



EUR/NOK: The favourite oil trade in G10

	Spot	One month bias	1M	3M	6M	12M
EUR/NOK	10.8300	Bearish ↘	10.75	10.60	10.50	10.50

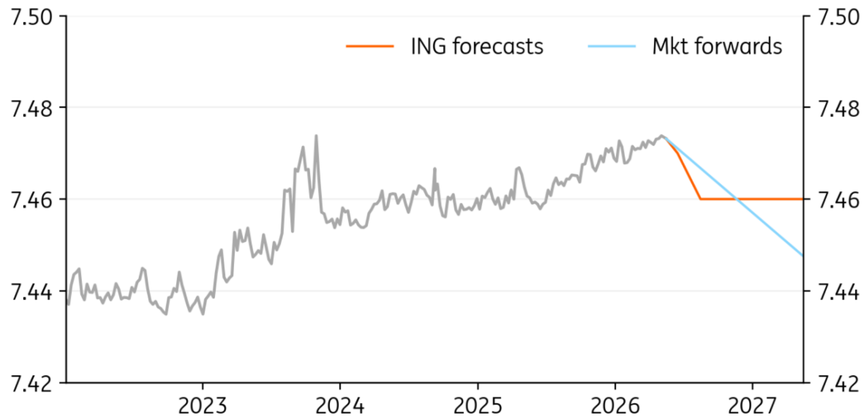
- NOK has continued to rally on still high energy prices, resilient risk sentiment and a surprise rate hike by Norges Bank in May offering an even more attractive carry.
- Unlike EUR/USD, the largest beta in our short-term EUR/NOK model is oil, not equities. The pair is likely oversold by speculators, and any de-escalation headlines weighing on oil prices could trigger sharp spikes, as seen in early May.
- Still, we think EUR/NOK has more room to fall in the remainder of the year. Energy prices should land well above pre-war levels even after a peace deal, and even if we aren't fully convinced of another NB hike, carry will remain very negative.



EUR/DKK: Testing new highs

	Spot	One month bias	1M	3M	6M	12M
EUR/DKK	7.4700	Neutral	7.47	7.46	7.46	7.46

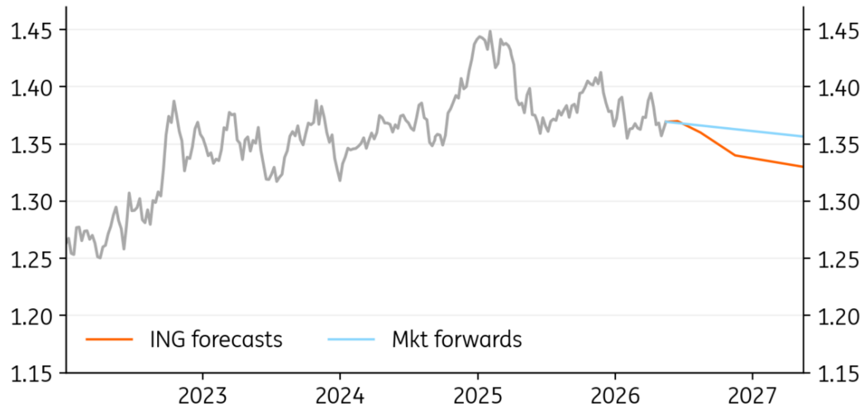
- EUR/DKK broke above 7.4730 in April without triggering central bank intervention. This may indicate a higher tolerance for modest upside volatility: spot fluctuations are still very small (<0.2%) relative to the ERM II +/-2.25% band.
- Another interpretation is that the Danish central bank is gearing up to tighten more than the ECB - possibly as soon as June - to curb the main source of upside pressure, the roughly 40bp policy rate gap.
- We continue to expect that, through intervention or rate action, EUR/DKK will not trade sustainably above 7.4740 and ultimately expect a return to 7.460 later this year.



USD/CAD: Unexciting prospects for CAD

	Spot	One month bias	1M	3M	6M	12M
USD/CAD	1.3700	Neutral	1.37	1.36	1.34	1.33

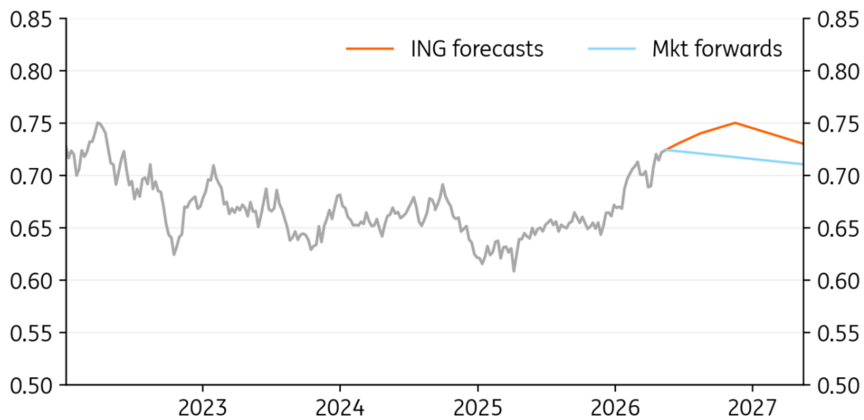
- The rewidening in USD/CAD short-term rate differentials to November's highs is preventing the pair from depreciating in line with persistently high oil prices.
- Canadian unemployment jumped to 6.9% in April, driven by major full-time employment losses, and in our view reducing further chances of a rate hike by the Bank of Canada. Markets are still pricing in 35bp of tightening by year-end.
- USMCA renegotiations remain a key event risk for CAD this summer. The clearest USD-negative scenario would be a de-escalation in the Gulf, but lower oil prices would make CAD a laggard in G10. We see a 1.36-1.38 range in the coming months.



AUD/USD: Fundamentals remain solid

	Spot	One month bias	1M	3M	6M	12M
AUD/USD	0.7200	Bullish	0.73	0.74	0.75	0.73

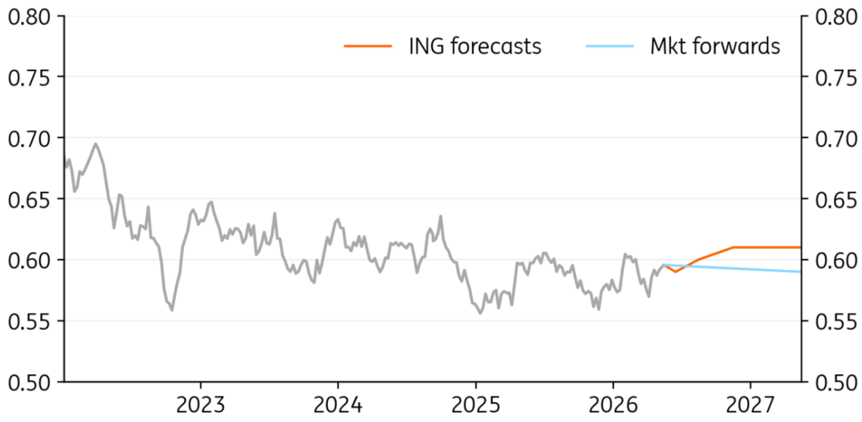
- Despite the latest correction in AUD/USD, fundamentals keep pointing up, and we are sticking to our 0.750 year-end call.
- Australia remains very well positioned to benefit from higher commodity prices (both energy and metals) and improved US-China relations remove a major risk factor.
- Obviously, global risk sentiment remains the big determinant in AUD/USD fluctuations, even more so considering AUD is now the go-to currency for carry seekers in G10. We don't currently pencil in another a rate hike in Australia, but risks are on the hawkish side. We still think the Fed will cut rates before the end of the year, endorsing late-2026 bullishness on AUD/USD.



NZD/USD: Lagging AUD for longer

	Spot	One month bias	1M	3M	6M	12M
NZD/USD	0.5900	Neutral	0.59	0.60	0.61	0.61

- New Zealand's jobs market held up well in 1Q, with wages excluding overtime a tad hotter than expected at 0.5% QoQ.
- The Reserve Bank should hold rates on 27 May after its latest survey showed two-year inflation expectations at a rising but not yet alarming 2.53%. But hawkish pressure is building, and we still expect two hikes by year-end (pricing 80bp).
- It's hard to see NZD emerge as an attractive alternative to AUD just yet. Despite a much better positioning profile (AUD is quite overbought), it lacks carry and energy exposure. The outlook should improve in 2H once the central bank starts tightening, in our view.



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EMEA FX Talking: Stable amid geopolitics, forint remains standout performer

CEE FX remains resilient despite Middle East tensions, as rate expectations, solid fundamentals and supportive differentials anchor currencies. The Hungarian forint maintains a bullish narrative after the April elections, while the rest of the region remains stable and awaits further signals from geopolitical tensions

CEE FX remains resilient despite Middle East tensions, with the Hungarian forint holding up particularly well

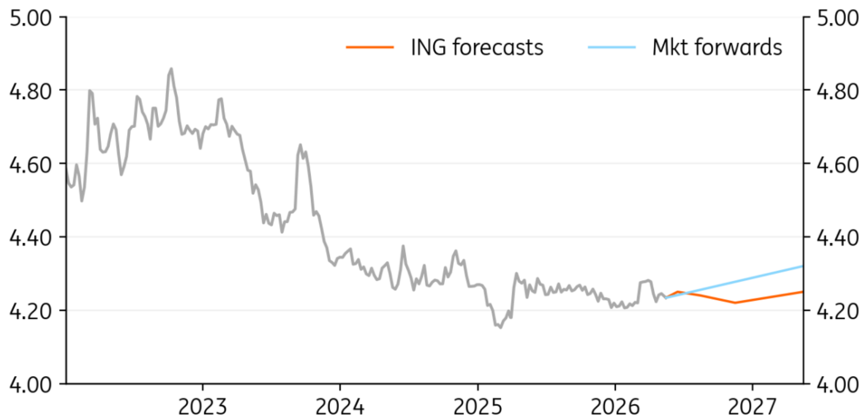
Main ING EMEA FX Forecasts

	EUR/CZK	EUR/PLN	EUR/HUF
1M	24.30 ↓	4.25 →	355 ↓
3M	24.30 ↓	4.24 ↓	355 ↓
6M	24.20 ↓	4.22 ↓	360 ↓
12M	24.10 ↓	4.25 ↓	345 ↓

EUR/PLN: Zloty supported by interest hike expectations

	Spot	One month bias	1M	3M	6M	12M
EUR/PLN	4.24	Neutral	4.25	4.24	4.22	4.25

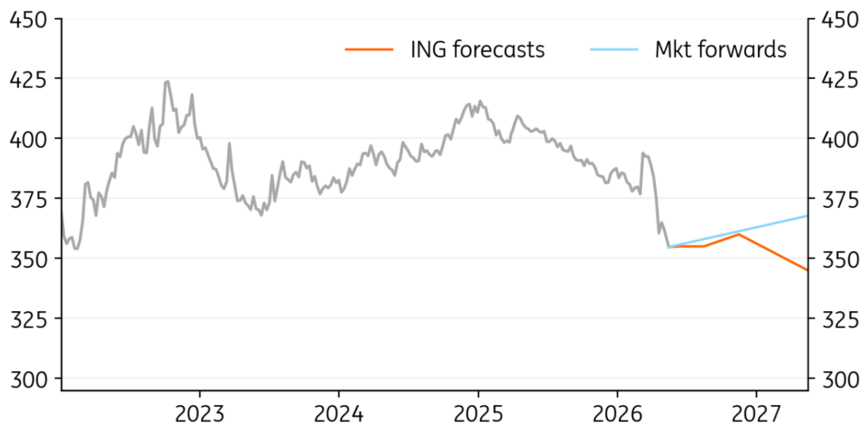
- Despite the turmoil in the Middle East, the EUR/PLN exchange rate is trading within a narrow range of 4.23–4.30. The relatively low volatility of the zloty reflects limited sensitivity of Poland's GDP and energy supply to the US-Iran war and renewed rate hikes expectation
- Although we do not expect any interest rate changes in 2026, it is likely that, until the beginning of July (important Monetary Policy Council meeting due to the new macro projections), markets will not fully price them out. As a result, these expectations will act as a shield against risk-off.
- We remain neutral on the zloty. Domestic fundamentals are still supportive of the Polish currency. GDP should outperform the rest of CEE and the high public investment agenda is starting. On 8 May, S&P maintained its ratings and outlook. Current risks are linked to geopolitical factors.



EUR/HUF: The forint has found a sweet spot for now

	Spot	One month bias	1M	3M	6M	12M
EUR/HUF	360.9000	Bearish	355.00	355.00	360.00	345.00

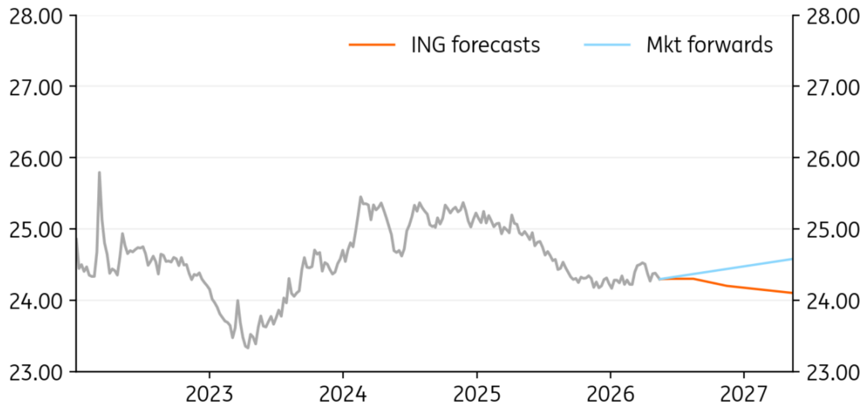
- Investors have become extremely optimistic about HUF since the election results opened the door to a pro-EU political transition. However, it seems that the market has finally found a sweet spot for the forint, at least in the short term.
- The National Bank of Hungary reduced the interest rate on FX swaps providing euro liquidity by 50bp to 5.25%. This has put further strain on the markets, creating a path towards an earlier-than-expected cut in the base rate, which contrasts with our 'on-hold' forecast.
- Yet, positive headlines related to EU funds, the restoration of checks and balances, and more news on budget consolidation and euro adoption mean that we wouldn't rule out EUR/HUF testing and breaking through 350 in the next 12 months.



EUR/CZK: Interest rate and growth differentials favour the koruna

	Spot	One month bias	1M	3M	6M	12M
EUR/CZK	24.3200	Neutral	24.30	24.30	24.20	24.10

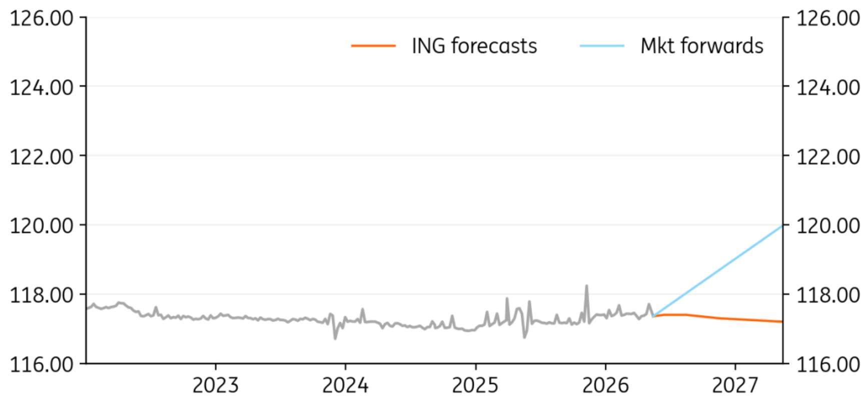
- The koruna is set to carry on in its strengthening trend and erase previous limited losses before the summer ends. The Czech economy should continue to expand despite pressures induced by elevated energy prices and Hormuz blockade.
- The Czech National Bank is expected to keep rates steady – even as inflation gains momentum – so as not to undermine economic activity. We think the Czech economy will likely bend but not break.
- The Czech real interest rate is set to remain positive, which is in stark contrast to the eurozone's real interest rate, which slipped into the negative territory in March already. With a rates differential of above 1ppt in nominal and almost 2ppt in real terms, we remain positive on the koruna.



EUR/RSD: No major changes in sight

	Spot	One month bias	1M	3M	6M	12M
EUR/RSD	117.4200	Neutral	117.40	117.40	117.30	117.20

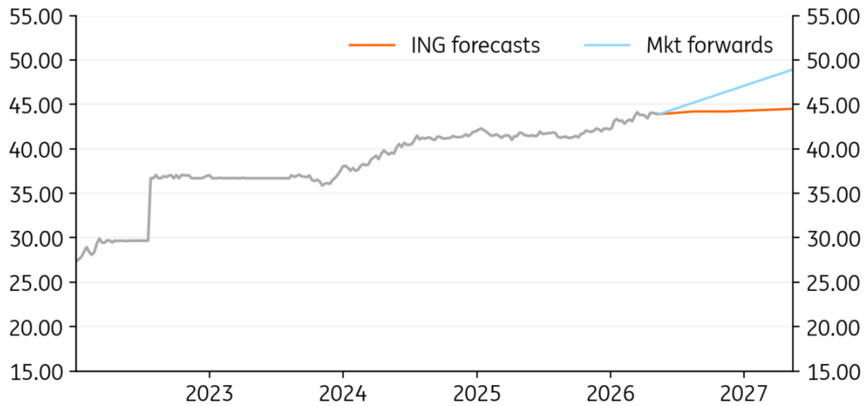
- EUR/RSD traded mostly sideways again this month, staying within a narrow 117.33–117.49 range. An uncertain outcome related to the NIS refinery has persisted – negotiations reportedly continue. The revised proposal from Hungary's Mol Group failed to meet the Serbian authorities' expectations.
- Solid investment activity related to the EXPO 2027 event should continue to support growth this year and improve the productive potential. Meanwhile, double-digit wage growth should continue to benefit private consumption.
- The National Bank of Serbia (NBS) held the key rate unchanged at 5.75% at its May meeting – continuing to highlight stagflationary pressures stemming from the ongoing Middle East tensions. FX stability is likely to remain a key focus ahead. In January-April, the NBS sold EUR1,205m to keep the pair stable.



USD/UAH: National Bank of Ukraine's efforts to help the hryvnia

	Spot	One month bias	1M	3M	6M	12M
USD/UAH	44.1500	Neutral	44.00	44.20	44.20	44.50

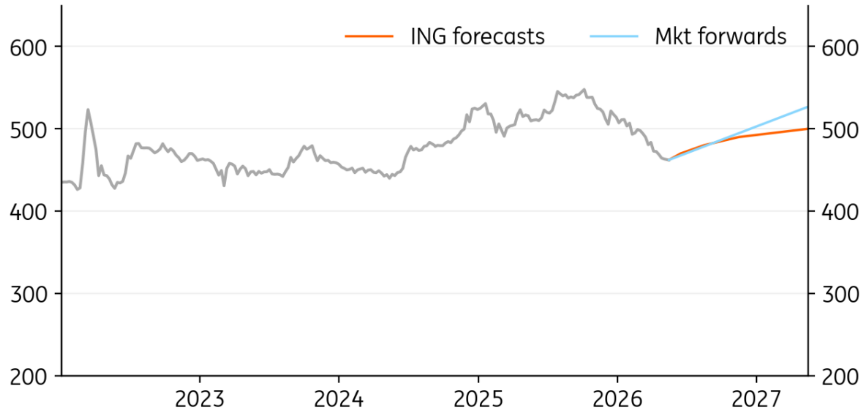
- The USD/UAH exchange rate has reversed from the record highs reached after the US-Iran conflict triggered a risk-off sentiment. On the one hand, the global FX environment has become more favourable; on the other hand, the efforts of the central bank have helped to strengthen the hryvnia.
- In April, Ukraine's international reserves decreased further by 7.3%, mainly due to FX interventions and, to a lesser extent, FX debt repayments (to the IMF). Nevertheless, despite this decline, international reserves, according to the NBU, remain sufficient to maintain FX market stability.
- The macro environment remains challenging due to the ongoing war. However, the latest update of the NBU's macroeconomic forecast shows that GDP growth in Ukraine should accelerate next year (to 2.8%, from 1.3% in 2026), while inflation is expected to decline further.



USD/KZT: Portfolio inflows give an extra lift

	Spot	One month bias	1M	3M	6M	12M
USD/KZT	469.5400	Neutral	470.00	480.00	490.00	500.00

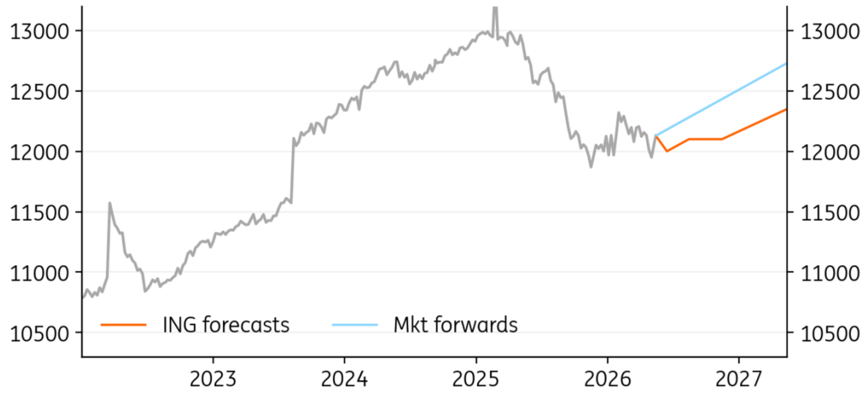
- The tenge keeps strengthening, having appreciated 5% since the renewed tensions in the Middle East, even as the oil price has largely stabilised last month after the initial spike.
- KZT's reliance on portfolio inflows is growing, as net inflow reached $0.4 bn in 1Q26, double the 2025 quarterly average, while the recently announced Euroclear connection and debt issuance plans should give a further boost.
- Kazakhstan's cautious monetary policy and high real interest rates should be supportive of continued portfolio flows, helping to offset the persistent current account deficit and a potential cut in the FX sales from the sovereign fund.



USD/UZS: Stable despite the extended halt in gold exports

	Spot	One month bias	1M	3M	6M	12M
	12,045.0000	Neutral	12000.00	12100.00	12100.00	12350.00

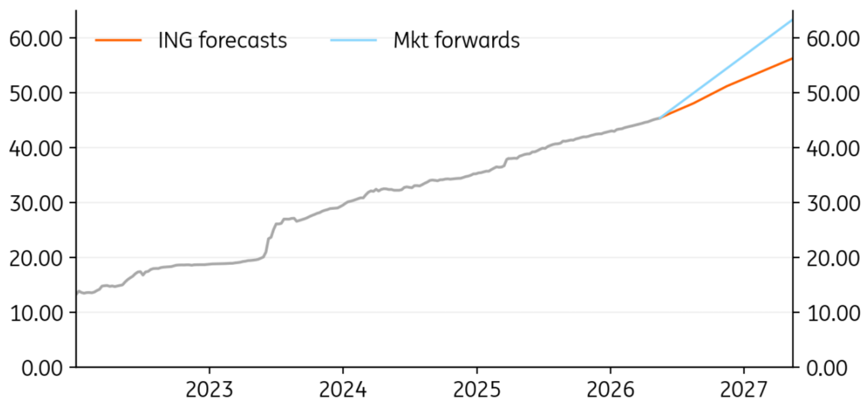
- The soum continues to show stability, despite the double pressure on the trade balance from higher oil imports and a halt in gold exports since October 2025.
- Similar to Kazakhstan, Uzbekistan's FX market is seeing increased support from net portfolio inflows, which increased by $1.3bn to $4.4bn in 2025, and the capital account is likely to be supported by the ongoing privatization programme.
- High real interest rates and the impending restart of gold exports later in the year reinforce our constructive view on the Uzbekistani soum for the near term. In the longer run, addressing elevated CPI and the twin deficits will be key.



USD/TRY: An appropriate adjustment in the pace of TRY depreciation

	Spot	One month bias	1M	3M	6M	12M
USD/TRY	45.5400	Bullish	46.30	48.05	51.20	56.30

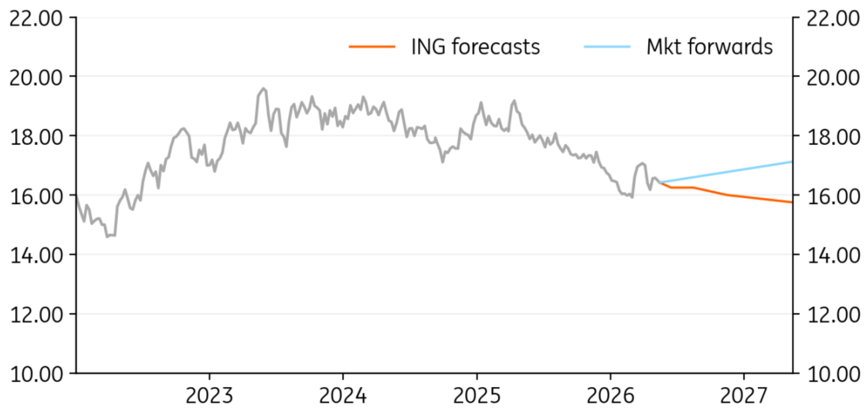
- Reserve dynamics, which came under pressure in March due to foreign outflows, have stabilised since early April, supported by prospects of de-escalation and a ceasefire. However, an outright rate hike remains possible should reserve pressures intensify or retail demand strengthen. The CBT has also recalibrated and slightly accelerated the pace of lira depreciation.
- This adjustment appears appropriate given the renewed strengthening in the real effective exchange rate since the start of the year. At its April MPC meeting, the bank remained silent, likely reflecting a partial recovery in reserves alongside concerns about moderating growth. The decision indicates a preference to preserve policy flexibility under evolving geopolitical conditions.
- In the near term, the CBT is expected to maintain a wait-and-see approach before deciding whether to reduce the effective cost of funding toward the policy rate. However, rising energy prices, moderating growth prospects, and persistent dollarisation risks create a challenging environment, limiting the central bank's room to implement any meaningful rate cuts.



USD/ZAR: South Africa Reserve Bank easing cycle curtailed

	Spot	One month bias	1M	3M	6M	12M
USD/ZAR	16.5900	Mildly Bearish	16.25	16.25	16.00	15.75

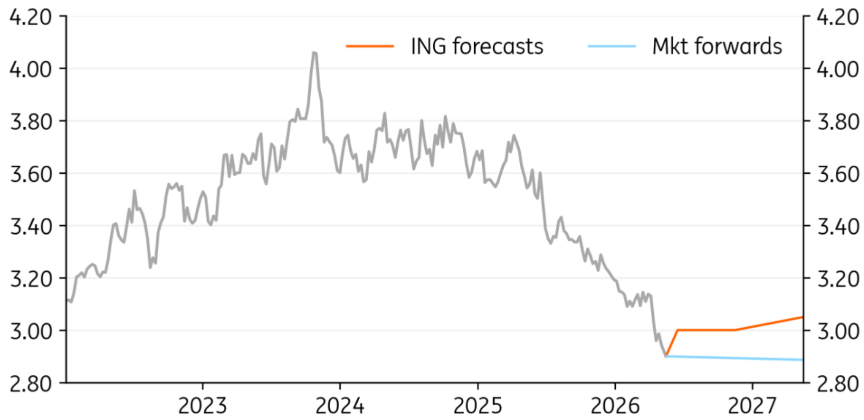
- USD/ZAR is consolidating alongside most EMFX as markets still try to price an early end to hostilities in Iran. Portfolio flows into South Africa – especially into the bond market – correlate well with global EM flows. Notably the latter have held up well. However, the SA bond story is not as attractive as it was, since the market now prices 100bp of hikes in the 6.75% policy rate.
- The SARB seems confident that CPI can remain in its 3% +/- 1% target. But a severe scenario could see 6% CPI and the policy rate hiked to 8%. El Nino in 2H26 also poses upside risks to CPI.
- Growth is seen in the 1-2% range and based on the ZAR's carry and our global dollar view, we're bearish USD/ZAR into 2027.



USD/ILS: Don't chase USD/ILS lower

	Spot	One month bias	1M	3M	6M	12M
USD/ILS	2.9100	Mildly Bullish	3.00	3.00	3.00	3.05

- USD/ILS continues to trade well below 3.00. The global equity rally and low risk premia is being blamed for the shekel strength – though as we have said before, tech capital raising may be a driving factor here. The Bank of Israel notes that domestic institutional investors were the big USD/ILS sellers in the first quarter ($5bn), after having sold $13bn in 4Q25.
- Normally the BoI would have intervened a lot by now, but that has not been the case – perhaps limited by Washington.
- But what seems clear is that the BoI will react to ILS strength at some point. That is why the market has priced in nearly 100bp of BoI rate cuts over the next six months.



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Latam FX Talking: Revising easing expectations

Markets have lost conviction on lower rates in Brazil and Mexico of late. In the former, cuts are still expected but may be limited to a 13.75% policy rate, while Banxico's easing cycle appears to be over. Aside from borrowed volatility from the Gulf, elections in Brazil and USMCA renegotiations in Mexico remain key risks into the summer

Latam FX is seen as a relative safe haven from geopolitics, and high yields should insulate the Brazilian real

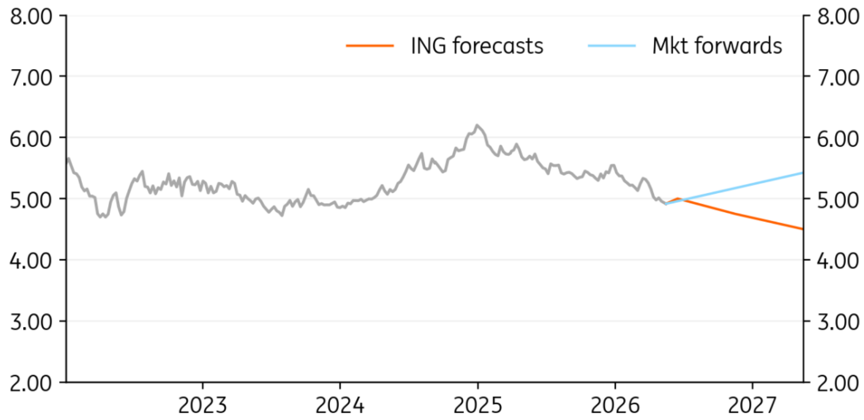
Main ING Latam FX Forecasts

	USD/BRL	USD/MXN	USD/CLP
1M	5.00 ↓	17.25 ↓	900 ↓
3M	4.90 ↓	17.50 ↓	875 ↓
6M	4.75 ↓	17.50 ↓	875 ↓
12M	4.50 ↓	17.25 ↓	875 ↓

USD/BRL: Politics rears its ugly head

	Spot	One month bias	1M	3M	6M	12M
USD/BRL	4.99	Neutral	5.00	4.90	4.75	4.50

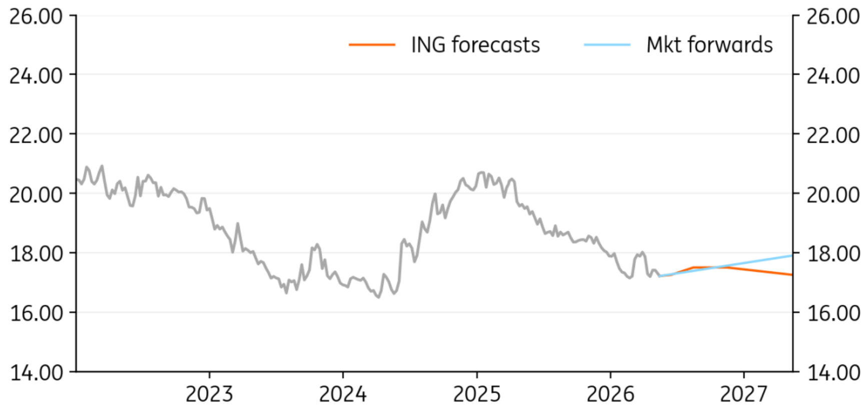
- The BRL has been one of the top performers, buoyed by high real rates, elevated implied yields (13% p.a.) for carry and its net energy exports. The question now is whether authorities want to slow the BRL rally? Recently they've allowed $0.5bn of their $90bn+ short dollar forward book to roll off.
- Presidential candidates Lula and Bolsonaro are neck-and-neck in the polls ahead of October elections. Bolsonaro has recently been embarrassed by links to the man behind the Banco Master fraud scandal, but there is no suggestion of illegality.
- The central bank is still happy to cut rates. But an expected easing cycle to the 12% area has been scaled back to 13.75%.



USD/MXN: Banxico easing cycle is over

	Spot	One month bias	1M	3M	6M	12M
USD/MXN	17.3300	Neutral	17.25	17.50	17.50	17.25

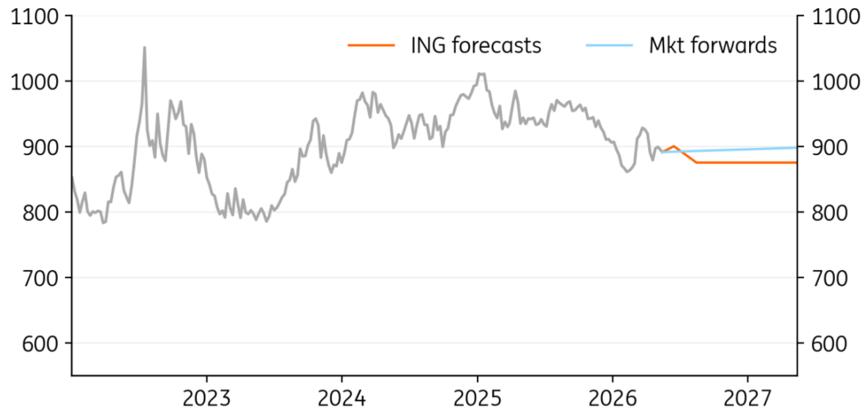
- Banxico's 25bp rate cut to 6.50% in May generated two dissenters for unchanged rates. The statement points to comfort with unchanged rates now and the market prices around 100bp of tightening over the next twelve months. Real rates at 2%+ leave the peso reasonably sheltered during the current inflation shock. And Banxico's views of weak domestic demand suggest the risks of second-round effects are limited.
- That leaves MXN as a relative EM high-yielder. But we doubt local authorities want USD/MXN to trade substantially under 17.00 – having previously covered short FX positions there.
- USMCA renegotiation this summer could cause MXN volatility.



USD/CLP: Copper rally offsets the energy shock

	Spot	One month bias	1M	3M	6M	12M
USD/CLP	896.4700	Neutral	900.00	875.00	875.00	875.00

- As a net energy importer, the peso was hit in March. But now the big rally in copper means that Chile's terms of trade are at their highs of the year. Our commodity team's view is that this copper rally may peak this summer ahead of a US ruling on refined copper products. And Chile's production may be hit later in the year on sulphuric acid shortages.
- The macro story might be a little CLP bearish in that the new right-wing government is looking to scale back on public expenditure. The central bank would like to cut rates if it can.
- New government policies and a corporate tax cut may help investment, but ultimately copper's path will dominate CLP.



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Asia FX Talking: Renminbi remains beacon of stability

The CNY's exceptional resilience may well continue, and we now see risks of the lower-bound of our fluctuation band (6.70) being tested. But the rest of Asia is experiencing clusters of currency instability. A widening current account deficit may keep weighing on the underperforming INR, IDR and PHP, and we are also cautious about KRW's rebound potential

High oil prices and now rising Treasury yields pose a test for emerging markets in general, but the Chinese renminbi should remain in demand

Main ING Asia FX Forecasts

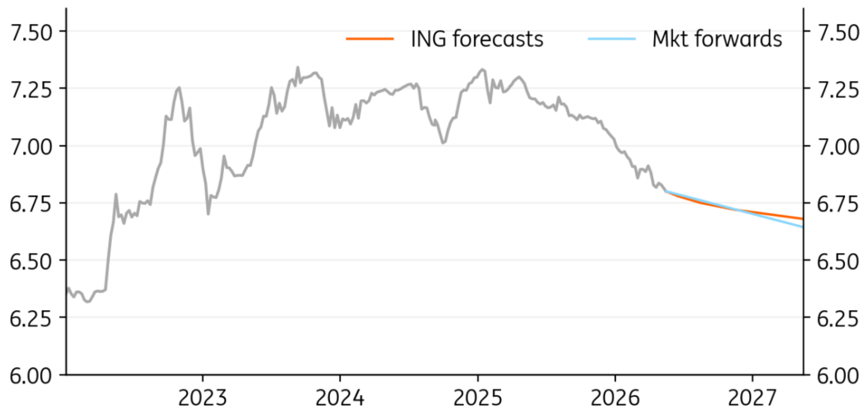
	USD/CNY	USD/KRW	USD/INR
1M	6.78 ↓	1475 ↓	95.90 ↓
3M	6.75 ↓	1450 ↓	95.00 ↓
6M	6.72 →	1425 ↓	94.50 ↓

12M	6.68 ↑	1425 ↓	94.00 ↓

USD/CNY: CNY strength breaks another psychological barrier

	Spot	One month bias	1M	3M	6M	12M
USD/CNY	6.81	Mildly Bearish ↘	6.78	6.75	6.72	6.68

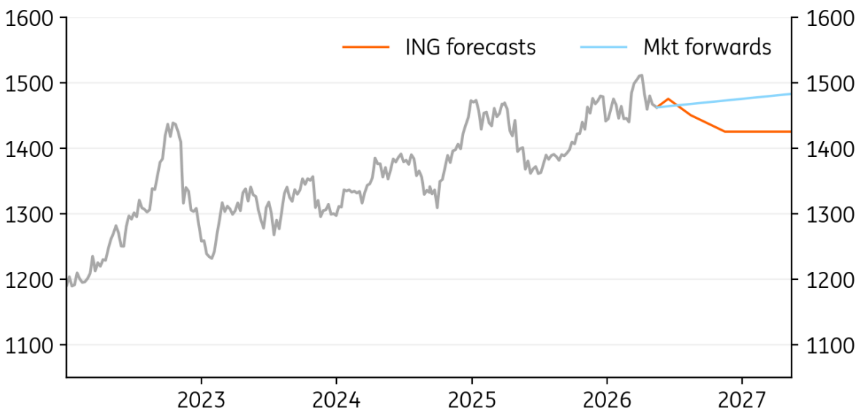
- USD/CNY broke below the psychological 6.80 in May, opening the way to test the lower end of our fluctuation band. We believe the next key level will be 6.70, the lowest level since the People's Bank of China (PBoC) began to emphasise currency stability in 2023.
- Appreciation has continued despite less favourable macro drivers. The PBoC's countercyclical factor moved further negative, implying pushback against appreciation. US-China rate spreads also widened as US yields rose.
- We are holding our 6.70-7.05 fluctuation band forecast, with downside risks. We have pushed back our PBoC rate cut view to 4Q, which can help further CNY strength in the interim.



USD/KRW: Portfolio inflows are limited in the near term

	Spot	One month bias	1M	3M	6M	12M
USD/KRW	1,496.5000	Mildly Bearish	1475.00	1450.00	1425.00	1425.00

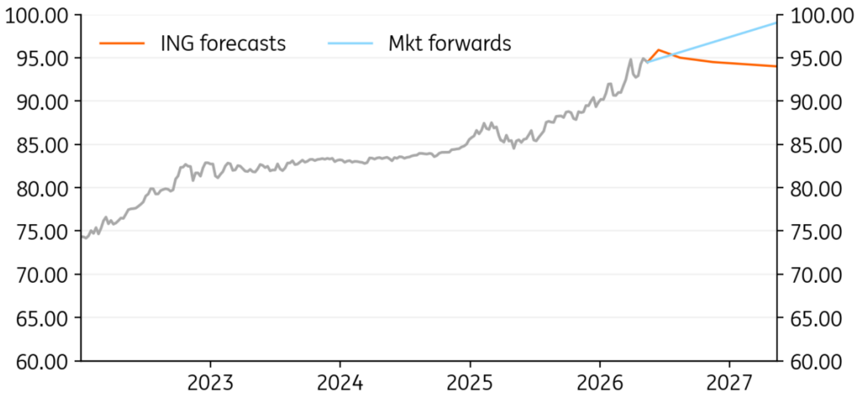
- The Middle East uncertainty has increased volatility while KRW has weakened again mostly due to foreigners' net selling of KOSPI.
- KOSPI gained almost 80% YTD, we expect some institutional investors to continue to rebalance their KOSPI portfolio, which will likely cap KRW appreciation at around 1,450 even if geopolitical tensions ease. Our projected trading range remains between 1,450 and 1,550 in near term.
- The Bank of Korea is expected to raise rates by 50bp in 2H26, possibly beginning as early as July, supported by surprisingly solid growth and mounting inflationary pressures. A narrowing yield gap with the Fed should be favourable to KRW in 2H26.



USD/INR: Weakness in INR likely to persist

	Spot	One month bias	1M	3M	6M	12M
USD/INR	95.9700	Neutral	95.90	95.00	94.50	94.00

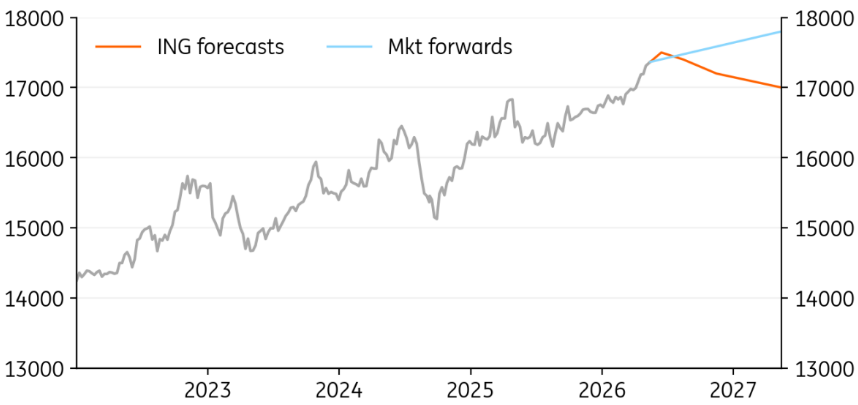
- INR is likely to remain under pressure as India's external position weakens further due to higher oil imports resulting in a wider current account deficit. FII outflows from the equity markets and weak FDI inflows are unlikely to bridge the deficit.
- Rate hikes aren't historically used to help the currency and should be delayed as inflationary pressures remain subdued, reflecting the limited pass-through of global oil prices.
- However, policymakers are considering boosting FX inflows, via a possible revival of a 2013-style FCNR(B) deposit scheme - which previously raised around USD25bn. The effectiveness hinges on the rate differential with comparable US instruments.



USD/IDR: Rate hike likely as IDR weakens sharply

	Spot	One month bias	1M	3M	6M	12M
USD/IDR	17,465.0000	Neutral	17500.00	17400.00	17200.00	17000.00

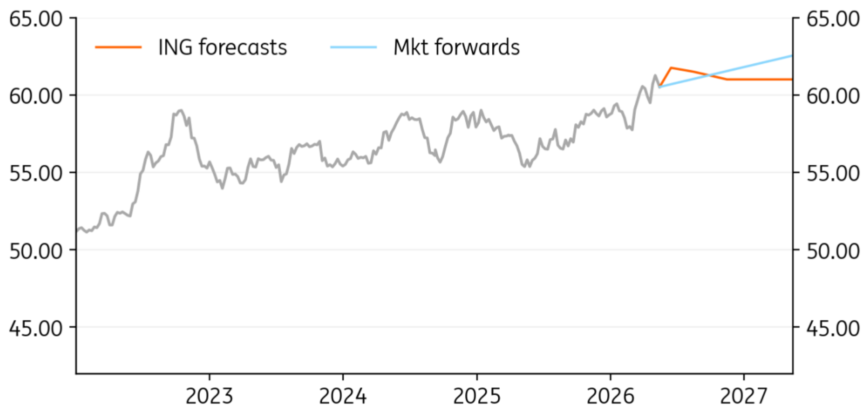
- Foreign demand for Indonesian bonds rebounded in April, with net inflows recovering to USD0.8bn, helped by Bank Indonesia's liquidity injections and moderate inflation. However, equity outflows remained high at around USD1bn for a second straight month.
- BI has also raised yields on its short‑term rupiah bills to attract foreign portfolio flows and help IDR. Outstanding SRBI rose by IDR USD7bn MoM in April - the most since July 2024.
- However, low oil reserves, falling FX reserves, a widening current account deficit, and seasonal dividend outflows are likely to keep the IDR trading on the soft side. We expect a 25bp BI hike this quarter to defend the currency.



USD/PHP: The weakest link in Asia

	Spot	One month bias	1M	3M	6M	12M
USD/PHP	61.6600	Neutral	61.75	61.50	61.00	61.00

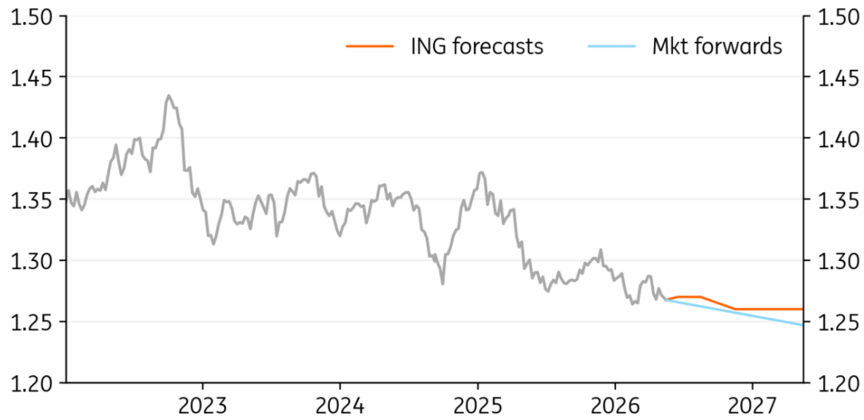
- The latest data points suggest inflation risks are now outweighing growth concerns. In this context, we do not see the weak GDP print deterring Bangko Sentral ng Pilipinas from hiking in June.
- We continue to expect a front‑loaded but measured tightening cycle, worth 75bp in 2026. While this could provide some near‑term support to the PHP, the currency's trajectory will remain closely tied to oil price dynamics.
- With oil prices projected to average close to USD100/bbl in 3Q, pressures on the current account deficit are likely to persist. Higher political uncertainty with the impeachment of the vice president can further push out reforms and growth recovery.



USD/SGD: Outperformance likely to continue

	Spot	One month bias	1M	3M	6M	12M
USD/SGD	1.2787	Mildly Bearish	1.27	1.27	1.26	1.26

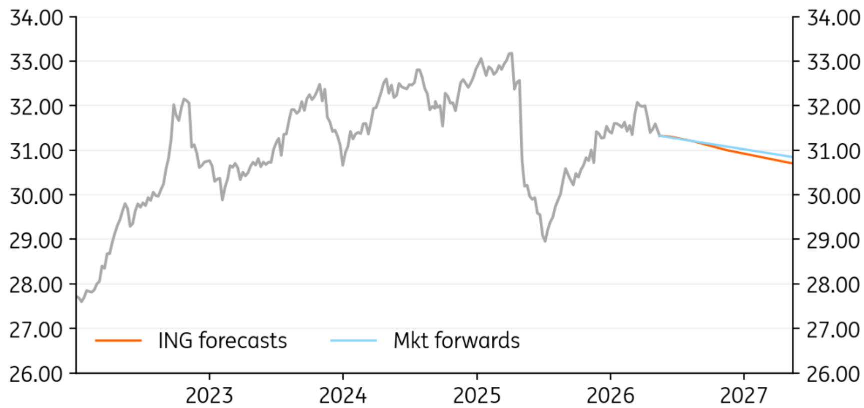
- Growth activity in Singapore's externally oriented sectors has so far remained broadly resilient. Strong export performance is consistent with the robust momentum in AI‑related exports observed in other Asian economies, like Taiwan and Korea.
- We think there is still room to tighten, especially since our forecasts for both CPI inflation and GDP growth sit slightly above the midpoints of the Monetary Authority of Singapore's target ranges.
- The SGD NEER is trading near the top of its band (about 1.5% above midpoint) and is likely to remain firm. MAS's focus on limiting volatility, alongside a bias toward further tightening, should continue to support the SGD in the near term.



USD/TWD: Rangebound pattern remains for now

	Spot	One month bias	1M	3M	6M	12M
USD/TWD	31.5100	Mildly Bearish ↘	31.30	31.20	31.00	30.70

- USD/TWD has continued to trade in a relatively narrow band of 31.3-31.7 over the past month. Policymakers acknowledged FX intervention in April, stating exchange rate stability and inflation management rather than export competitiveness.
- A widening US-Taiwan yield spread has been enough to offset broadly positive TWD domestic factors such as record current account surpluses and strong foreign net buying of equities.
- Moving forward, the rangebound activity may continue, but we hold a slight appreciation bias. The Central Bank of the Republic of China may need to deal with higher inflation in coming months, and we have pencilled in a rate hike in 3Q, which could support the TWD.



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THINK Ahead: Politics meets the bond market (again...)

Not for the first time, it's Britain leading the way in what has been a grim week for the global bond market. Political drama is back, interest rate expectations are rising. But for all the noise, James Smith argues there are limits on how much politics is likely to drive central banks this year. Read on as he and the team look ahead to another busy week in markets

The UK's Mayor of Manchester Andy Burnham has his sights set on Downing Street

Politics meets the bond market (again...)

Let's face it: nobody does political drama quite like Britain. In a competitive field of big global stories – a global energy crisis, a meeting of two superpowers – the limelight has still somehow found its way back to London.

In case you're struggling to keep up (and who can blame you), the ruling Labour Party is in the midst of a leadership struggle. Prime Minister Keir Starmer, though still in office, is under existential pressure after poor local election results. A leadership contest looks increasingly inevitable. And if you believe the betting markets, Manchester Mayor Andy Burnham is the man to beat.

All of this has unfolded against the backdrop of a grim week for global bond markets. The UK's 10 year yield rose by more than a quarter of a percentage point. But Britain is hardly alone. US yields are up around 20bp this week, while Germany's are higher by roughly 13bp.

That's an important reminder. For all the noise coming out of Westminster, it is still oil prices – and the outlook for global central banks – that are doing the heavy lifting for interest rates, both at the short and long end.

Of course, politics could matter more from here. There is certainly scope for gilt yields to rise further on domestic drama. But in practice, will politics really be a central driver of central bank decisions this year?

When it comes to Britain, I think it's important to keep things in proportion.

Yes, the political centre of gravity is likely to shift left. And yes, there is pressure to adapt the fiscal rules. But politicians across the spectrum are presumably acutely aware there are limits, with the shadow of the 2022 "mini budget" crisis still hanging over Westminster.

Where leadership hopefuls are talking about higher borrowing, the emphasis is overwhelmingly on investment – particularly capital intensive areas such as defence and social housing. In practice, we suspect any additional borrowing, if it materialises, is unlikely to exceed £15–20bn per year.

That is not trivial. And investors would no doubt start to question the UK's longer term commitment to fiscal restraint, particularly as we edge closer to what could be a challenging 2029 general election.

But that is not quite the question facing the Bank of England.

The Bank needs to judge whether a modest fiscal pivot of this kind would materially boost inflation over a two year horizon. And if it's going to be centred on investment, it's worth recalling that Britain's recent track record of actually building things is… not great.

Private housebuilding is almost 20% below its pre Covid level. Firms consistently cite planning constraints and regulation as key bottlenecks. Britain's infrastructure delivery record is no more inspiring.

That suggests any fiscal boost is unlikely to move the dial much for the Bank of England in the near term, particularly when you remember the next Budget isn't due until late Autumn. And with investment, there is always the counter question of how much it lifts the supply side of the economy and productivity, offsetting any inflationary impulse.

If you want a cautionary tale, look at Germany. Optimism last spring around vast defence and infrastructure spending faded quickly as it became clear that this was not something that would happen overnight.

A year on, there are some signs of progress. Defence spending, for example, began to pick up late last year. Carsten Brzeski argues the impulse is now "real", with effects increasingly likely to show through this year and next – energy crisis notwithstanding.

Which brings us neatly back to energy.

When it comes to politics and its relationship with central banks, the far bigger question is whether governments across Europe are forced into much larger support packages than we have seen so far. The fuel tax cuts announced in various countries are small beer compared with the 2-3% of GDP packages rolled out in 2022. That, in no small part, was why central banks across Europe were forced into steep rate hikes four years ago.

Whether similar pressure builds again this time will depend, above all, on where energy prices go next. You can find our scenarios in the latest ING Monthly, or listen back to Warren Patterson walking through his outlook in our recent webinar.

Two points from that discussion stand out.

First, even if the war were to end tomorrow, energy prices may not fall as far as many expect. Significant drawdowns in oil inventories are likely to keep upward pressure on prices for some time yet.

Second, natural gas prices currently look too low. There is meaningful upside risk if disruptions persist into the third quarter, particularly as competition intensifies between Asian and European buyers for LNG.

It's a reminder that, for all the political noise, its energy prices will remain the dominant force for central banks. It's why we're expecting rate hikes from the Bank of England and European Central Bank in June, and why we no longer expect a Federal Reserve rate cut until December.

James Smith

Three scenarios for global energy markets

	Scale of disruption (% disruption to pre-war Persian Gulf oil flows)						Oil supply lost (m barrels)	Brent forecast (USD/bbl)			Gas supply lost (bcm)	TTF forecast (EUR/MWh)		
	Mar	Apr	May	Jun	Jul	Aug		Q2	Q3	Q4		Q2	Q3	Q4
ING base 1	70	70	50	35	7	7	1625	104	99	92	31	55	45	45
Prolonged disruption 2	70	70	70	35	14	14	2013	116	112	105	44	74	60	60
Re-escalation 3	70	70	94	94	47	47	3311	135	150	120	58	90	75	80

Source: ING

THINK Ahead in developed markets

United States (James Knightley)

- **Housing starts** (Thu): It is a quiet week for US data, with a focus on housing numbers. High prices and elevated mortgage rates are an obvious headwind that is hurting affordability and depressing activity. We will also have the FOMC minutes, which will underscore the hawkish shift seen in April when three members wanted more neutral language on where interest rates may head.

United Kingdom (James Smith)

- **Inflation** (Wed): Headline inflation is actually likely to dip in April's data, due next week. That might sound strange as energy prices surge. But the timing of Easter is set to temporarily push down on CPI. So too will the fact that many of last year's administrative/regulatory price hikes weren't repeated at the start of this financial year – or not to the same extent. We're also looking for signs that lower wage growth and greater economic slack results in more muted annual price hikes across the service sector. If we're right, that should make some Bank of England officials more relaxed about the risk of second-round effects from the current energy crisis.

THINK Ahead in Central and Eastern Europe

Poland (Adam Antoniak)

- **Industry** (Thu): Activity in industry is on a roller-coaster ride. Following subdued output in the first two months due to harsh weather, industry rebounded sharply in March. Still, the general trend is far from positive. Industry has been nearly stagnant in recent years and weak external demand along with mounting competitive pressure from China poses a challenge for some sectors. At the same time, the Middle East conflict and unfolding energy crisis imposed yet another layer of risks and uncertainty. We expect the recovery in manufacturing to lose momentum ahead, even if short-term performance might be boosted by stockpiling. Upward pressure from energy commodities probably lifted PPI from over two-year-long deflation.
- **Labour market** (Thu): Wage growth continues its downward trend as the situation normalises after double-digit growth in 2023-24. In April, the lower annual dynamic was also probably facilitated by a high reference base due to high growth in mining. Employment in enterprises continues shrinking at a pace nearing 1% year-on-year as declining labour supply is facing somewhat softer demand.

Hungary (Peter Virovacz)

- **Wages** (Wed): It is hard to imagine anything stealing the limelight from the political headlines in Hungary nowadays. However, the ongoing issue of high wage growth would certainly exacerbate the complicated situation of the National Bank of Hungary. Strong real wage growth and rising consumer confidence could increase pipeline price pressure on top of the energy price shock. Meanwhile, the movement of the forint towards territory that would prompt the central bank to consider a dovish pivot sooner than expected is adding spice to the situation.

Czech Republic (David Havrlant)

- **PPI** (Wed): Higher oil and natural gas prices continued to pass through to producer pricing, when annual price dynamics in industry likely switched to positive territory in April, following more than a year of annual declines. This will further foster pressures on consumer prices, where goods price gains quickened in April.

Key events in developed markets next week

Country	Time	Data/event	ING	Prev.
		Monday 18 May		
Italy	0900	Mar Global Trade Balance (EUR bn)	-	4.9
		Tuesday 19 May		
US	1330	May 2 ADP weekly employment change (000s)	20	33
	1500	Apr pending home sales (MoM%)	1.1	1.5
Eurozone	1000	Mar Total Trade Balance SA (EUR bn)	-	7
UK	0700	Mar ILO Unemployment Rate	4.9	4.9
	0700	Mar Employment Change (000s)	160	25
	0700	Mar Average Weekly Earnings (3M YoY%)	3.7	3.8
	0700	Mar Average Weekly Earnings ex Bonus (3M YoY%)	3.5	3.6
Canada	1330	Apr CPI (MoM%/YoY%)	0.8/3.3	0.9/2.4
	1330	Apr Core CPI (MoM%/YoY%)	-/-	0.2/2.5
Netherlands	0530	Mar Trade Balance (EUR bn)	-	9.9
		Wednesday 20 May		
US	1900	FOMC Minutes	-	-
Eurozone	1000	Apr CPI (YoY%)	-	2.2
UK	0700	Apr Core CPI (YoY%)	2.6	3.1
	0700	Apr CPI (MoM%/YoY%)	1.0/3.0	0.7/3.3
	0700	Apr Services CPI (YoY%)	3.4	4.5
		Thursday 21 May		
US	1330	Initial Jobless Claims (000s)	215	211
	1330	Apr Housing Starts (000s)	1410	1502
Eurozone	0900	Mar Current Account SA (EUR bn)	-	24.9
	0900	May HCOB Manufacturing PMI Flash	-	52.2
	0900	May HCOB Services PMI Flash	-	47.6
	0900	May HCOB Composite PMI Flash	-	48.8
	1500	May Consumer Confidence Flash	-	-20.6
Germany	0830	May HCOB Manufacturing PMI Flash	50.8	51.4
	0830	May HCOB Service PMI Flash	46	46.9
	0830	May HCOB Composite PMI Flash	47.8	48.4
France	0815	May HCOB Composite PMI Flash	-	47.6
UK	0930	May S&P Global Composite PMI Flash	-	52.6
	0930	May S&P Global Manufacturing PMI Flash	-	53.7
	0930	May S&P Global Services PMI Flash	-	52.7
Sweden	0700	Apr Unemployment Rate	-	9.7
		Friday 22 May		
US	1500	May Michigan Sentiment Final	48.2	48.2
Germany	0700	Q1 GDP Detailed (QoQ%/YoY%)	0.2/0.4	0.3/0.5
	0700	Jun GfK Consumer Sentiment	-35	-33.3
	0900	May Ifo Business Climate	83.8	84.4
	0900	May Ifo Current Conditions	84.5	85.4
	0900	May Ifo Expectations	83.1	83.3
UK	0700	Apr Retail Sales (MoM%/YoY%)	-/-	0.7/1.7
Canada	1330	Mar Retail Sales (MoM%)	-	0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
		Monday 18 May		
Poland	1300	Apr Core Inflation (YoY%)	2.9	2.7
Romania	1100	Mar Current Account (EUR bn)	-	2.3
		Wednesday 20 May		
Hungary	0730	Mar Average Gross Wages (YoY%)	9.0	9.7
Czech Rep	800	Apr PPI (MoM%/YoY%)	1.0/0.7	1.5/-1.1
		Thursday 21 May		
Poland	0830	Apr Employment (YoY%)	-0.9	-0.9
	0830	Apr Wages (YoY%)	5.9	6.6
	0830	Apr Industrial Output (YoY%)	2.4	9.4
	0830	Apr PPI (YoY%)	0.2	-0.8
		Friday 22 May		
Turkey	0800	Apr Trade Balance (USD bn)	-8.5	-11.2

Source: Refinitiv, ING

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UK assets markets starting to feel the heat

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up. 30-year UK gilt yields have risen to levels last seen in early 1998 and independent sterling weakness is really starting to come through. A long hot summer for UK politics warns of more to come

What's happening

UK markets were under pressure on Friday as the leadership battle within the ruling Labour Party starts to open up.

To recap, this week's turmoil follows a very weak, but not totally unsurprising, set of local election results for Labour earlier this month. With Nigel Farage's Reform Party dominating the polls, and the Green Party increasingly dividing Labour's share of the vote, there's growing pressure on the party to change direction as it looks ahead to the next General Election in three years' time.

So far, formally at least, no leadership contest has been triggered. Keir Starmer remains both

Labour leader and prime minister. But it is only a matter of time.

Wes Streeting, until this week the Health Secretary, has resigned and is expected to stand, though it remains unclear whether he has support from the 81 Labour MPs required to trigger a contest. Comments from Streeting today suggest he has acknowledged a leadership battle will need to wait for the summer.

That's because Andy Burnham, Mayor of Manchester and favourite to become Labour leader, needs to be an MP in Westminster to be eligible to compete in a leadership contest. He has announced he'll be standing in Makerfield, a newly-vacated seat in the north of England, in a by-election that's likely to take place in the second half of June.

That in itself is no easy feat. Polls suggest that, in the absence of Burnham, Reform would win comfortably in Makerfield. Farage's party dominated the local elections in the area. Burnham will be banking on his local popularity to get him elected.

Assuming he does, that opens up a leadership contest that's likely to take place through the summer, with the results sewn up before the Labour Party conference in late September.

What gilt markets are watching

Until now, politics has not been the primary driver of gilt yields, which suggests there's still plenty of upside risk.

The Bank of England policy path has been lifted by higher oil prices over recent weeks. And we also have the Bank's Quantitative Tightening flooding the market with gilt supply at a pace of £70bn per year. Higher US Treasury yields, amidst very healthy US market sentiment, is spilling over to gilt yields, too.

But as of Friday, there are signs that political uncertainty is starting to fuel those Bank of England rate hike expectations, too. Two rate hikes are priced by November and a third by March 2027. And even more interestingly, markets are not pricing in subsequent rate cuts over a two- or three-year horizon. Perceptions of the neutral rate – the level neither expansionary nor restrictive for the economy – have been repriced higher.

That tells us investors are most focused on the impact a leadership contest might have on Britain's fiscal trajectory, gilt issuance over the next couple of years, and its interplay with inflation. Burnham has said there's a case for exempting defence spending from the main fiscal rules, implying higher borrowing. Other Labour figures have flirted with extending the timeline of when the fiscal rules need to be met – which again makes it easier to boost borrowing in the near-term.

The biggest risk here is that investors begin to question the UK's longer-term fiscal discipline. Gilt markets rely on foreign investors and any signs that fiscal dynamics risk turning unsustainable could quickly turn sentiment. We've already seen that the uncertainty around the Autumn Budget last November added a risk premium of around 25bp to 10Y gilts. Right now, we estimate the premium to be around 10bp, higher than a few weeks ago, but still less than around November's budget.

Until we get a better understanding around the fiscal path forward, political risk premium is likely to keep rising. A rise towards 5.30% is quite possible in the near term.

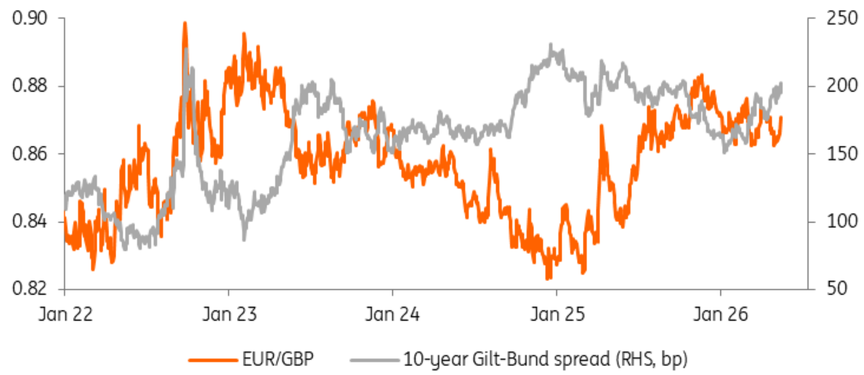
The reality might be different

With bond markets already under pressure, we suspect all leadership candidates will come until intense pressure to rule out big changes to the fiscal rules over the next few weeks. The memories of the 2022 mini-budget crisis haven't gone away.

We'd also note that fiscal changes are unlikely before the Autumn Budget. And until then, the Bank of England can only react to what is existing government policy. That suggests the leadership drama is unlikely to drastically alter the BoE's rate hiking path this summer.

Beyond politics, we also think Bank of England rate hike expectations look overblown. We expect one rate hike this year, but more importantly perhaps, a return to rate cuts in 2027. Once the near-term political noise has blown over, the direction for gilt yields is likely to be downwards across the medium term. We're forecasting the 10-year bond yield down to 4.5% through the middle of next year.

EUR/GBP versus 10-year gilt-bund spread



Source: Refinitiv, ING

Sterling is dragged into the sell-off

What has been noticeable over the last week is that sterling has finally been dragged into this political crisis. Up until recently, traded EUR/GBP volatility had been exceptionally low, near 4%, and the FX option market's view over its direction had not really changed much at all over the last year. Now participants in the FX options market are prepared to pay 1.1% extra for the right to buy over the right to sell EUR/GBP over the next three months. That is virtually matching last year's 'Liberation Day' highs, when global equity markets were hit hard and the growth-sensitive pound fell 5% against the euro.

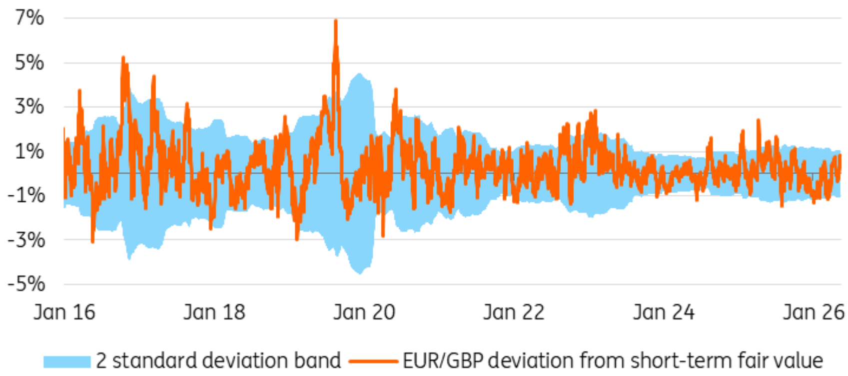
Behind that recent stability in the pound might have been the BoE's relatively high policy rate of 3.75% (helpful in a carry-seeking environment) and perhaps ongoing interest from M&A activity. Year-to-date pending and completed target acquisitions of UK companies are up over 100% this year, compared to around 20% for Europe as a whole.

Yet the focus now shifts to the long, hot summer of the Labour leadership crisis and the question is how far sterling could fall if international investors really turned bearish on the pound. Over the years, we have found our Financial Fair Value model as a useful vehicle to evaluate the size of risk premium that could emerge in EUR/GBP. The model looks at where EUR/GBP is actually trading versus where it might be trading were typical relationships with short-term rate differentials and equity performance to hold.

By our current reckoning, EUR/GBP is currently trading around 1% above fair value. As our chart below shows, EUR/GBP can trade as much as 5% over fair value in extreme conditions – such as in August 2019 when it looked like the UK would be leaving the EU without a deal. An extra 4% on EUR/GBP today warns that 0.90 is not out of the question this summer for EUR/GBP. For reference, the FX options market now attaches a 25% probability to EUR/GBP trading to 0.90 within the next three months.

Our baseline is for a slightly more modest advance in EUR/GBP to 0.88/89 in late summer – but the risks are clearly skewed to the upside.

EUR/GBP Financial Fair Value model



Source: ING calculations

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Sitting, waiting, wishing... for energy flows to resume

Energy markets remain extremely sensitive to developments in the Middle East, showing the significance of the supply disruptions we are witnessing. However, there have been several factors that have helped to take some pressure off prices

With no imminent peace deal in sight, stalled Hormuz flows continue to hold Brent above $100/bbl

Falling Chinese imports and rising US exports offer relief to oil markets

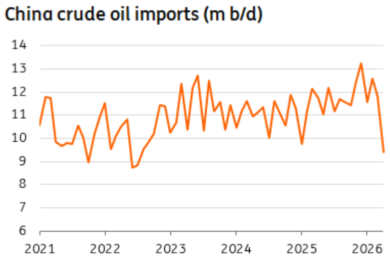
It has been another volatile month in energy markets, with oil prices being whipsawed by Iran-related headlines. Cold water has been thrown over optimism for an imminent peace deal, after President Trump rejected Iran's counterproposal peace plan. And as a result, any hopes for a quick resumption in energy flows through the Strait of Hormuz have also faded, which has seen Brent trade convincingly back above $100/bbl.

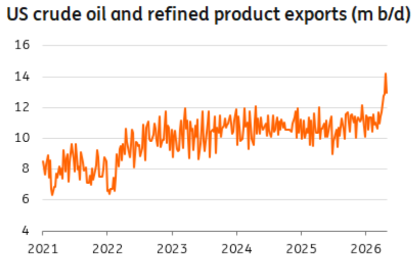
However, with the oil market facing a supply disruption of around 13m b/d, one may be surprised that we are not seeing much higher prices. There is an element of the market still clinging to some optimism that energy flows may start picking up. However, there are some fundamental factors that have also helped. Chinese oil imports have fallen significantly, while US oil exports hit record levels consistently in April, which has helped to take some of the upward pressure off the market. But these are temporary solutions. China will be relying on inventory as imports fall, while similarly the growth in US exports is fed by inventory rather than supply growth.

Another element which has contained the market is that we have already started to see demand destruction in the oil market. Crude oil prices have not had to go as high as many would imagine to drive this decline in demand. This can be largely attributed to the relative strength seen in refined product prices (gasoline, diesel, jet fuel), reflected by the widening in refined product margins. The significant strength in refined product prices has meant that crude oil prices have not had to go as high to ensure demand destruction.

While there is still plenty of uncertainty over how the situation plays out, we are assuming some recovery in oil flows in the remainder of the second quarter, allowing for nearer to normal flows in the third quarter. Under this scenario, Brent averages $104/bbl in 2Q26 and US$92/bbl in 4Q26. Clearly, though, every day that goes by without a resolution pushes the market towards a much more aggressive scenario.

Chinese oil imports fall while US oil exports surge amid Persian Gulf supply disruptions





Source: China Customs, EIA, ING Research

Demand destruction keeps the gas market in check... for now

While European gas prices are trading above pre-Iran war levels, they have come off significantly from their peak following the start of the war. We believe that gas markets are underpricing the scale of the supply disruption. The gas market has less of a buffer to weather supply shocks, while there is little in the way of alternative routes for Persian Gulf LNG to move to its destination, other than going through the Strait of Hormuz. While ship tracking data shows that Qatar has shipped its first two LNG cargoes since the start of the war, this falls far short of normal flows.

There is not enough slack in the LNG market to offset these supply losses, so the market will have to rely on inventory and demand destruction to try to balance, which is what we have been seeing. In Asia, gas-to-coal switching is occurring within the power sector, while industrial demand is also coming under pressure. Meanwhile, relying on inventories means that buyers will have to come back to the market at a later stage to restock. The big upside risk for the market is if this restocking has to happen before energy flows through the Strait of Hormuz resume.

If we see Asian buyers coming into the spot LNG market to refill inventory/offset disrupted contracted volumes, this will increase competition between Europe and Asia for cargoes, which would push prices higher.

Gas storage in the EU is relatively tight, at 35% full compared to a five-year average of 48%. This will make the job of refilling storage tougher, especially as the TTF forward curve – currently in backwardation – does not incentivise storage. More flexibility in EU storage targets helps to take some pressure off the market heading into the 2026/27 winter. However, going into the winter with 75% full storage (which is the minimum allowed under extreme conditions) would leave the European market more vulnerable through the winter and risk higher prices.

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Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again

2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021–2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post Covid pent up demand. The question is: are we heading down that path again?

A quick, sharp shock

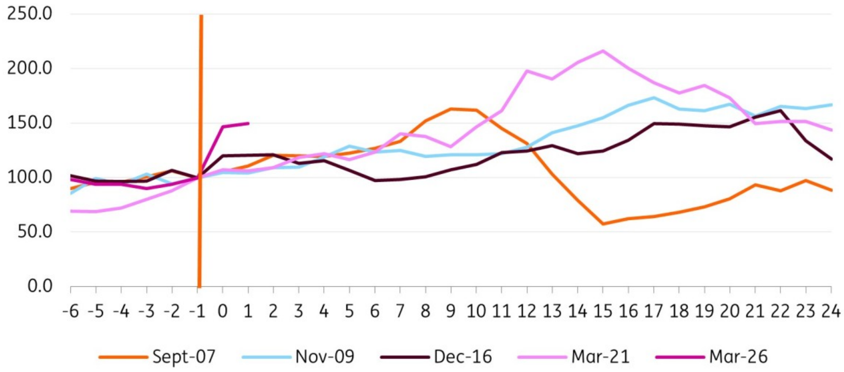
Central banks, therefore, need to track prices closely to see whether the energy shock stays contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year on year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around −8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

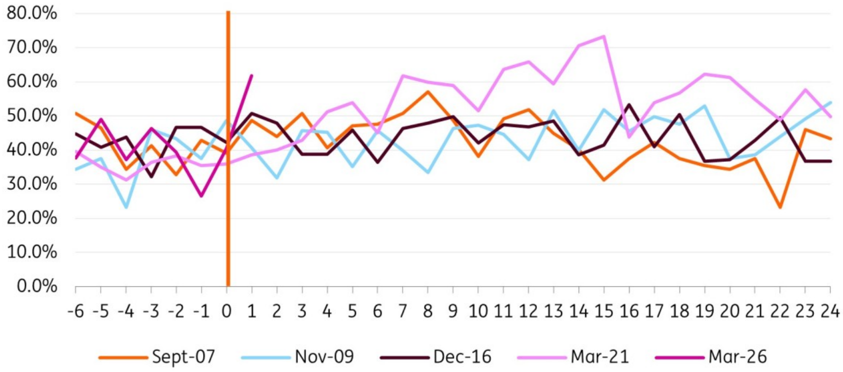
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

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Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited

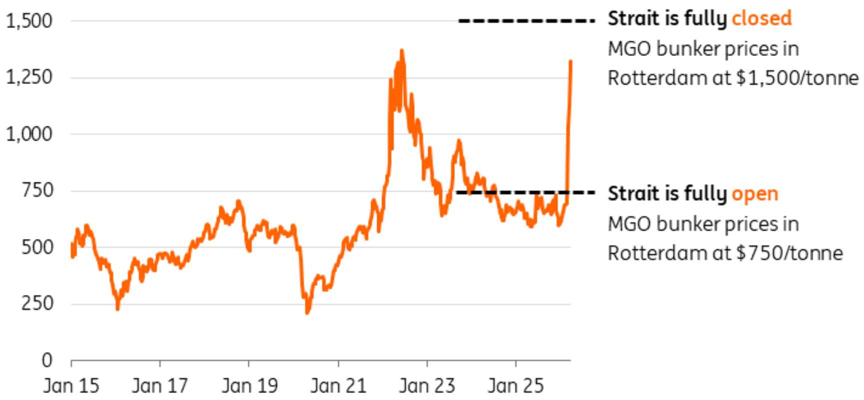
Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in $ per tonne; we'll analyse two scenarios



Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

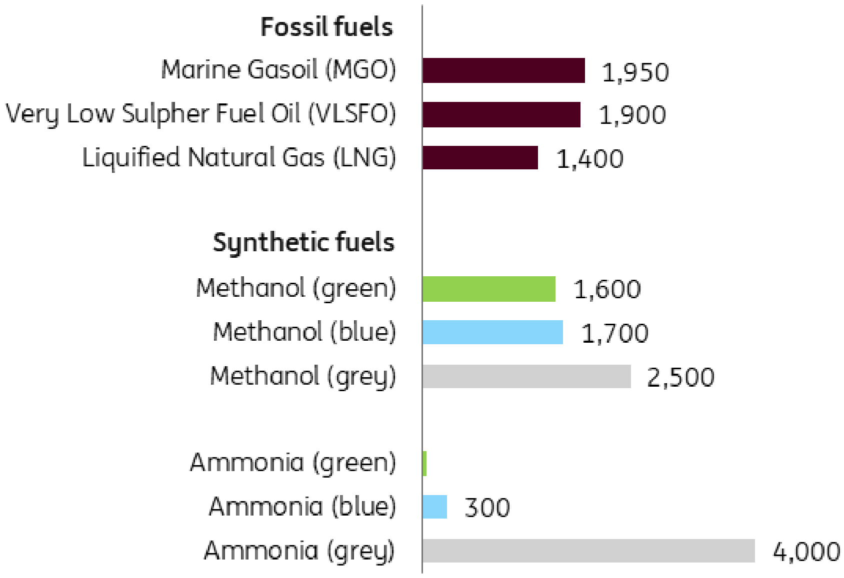
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO2 per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO2.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO2 per deadweight tonnage per 1,000 kilometres (kgCO_2/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolysers powered by low‑carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO₂, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis here. In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

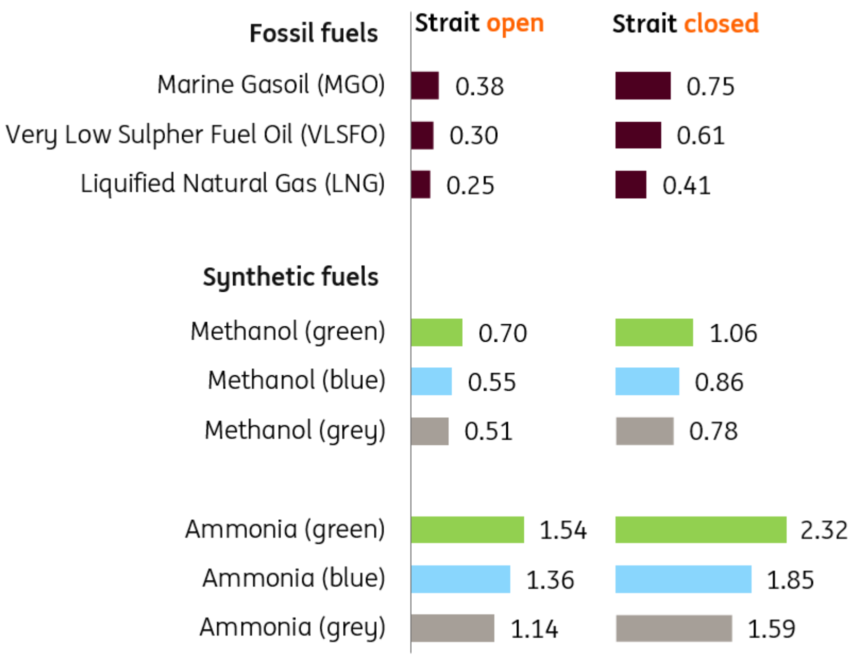
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 $/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive "available now" hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

Hormuz disruption strengthens LNG's position as synthetic fuels lag on cost

Indicative unsubsidised fuel costs in $/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer "system-wide" changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A "ready now / ready later" option exists. Orders for methanol-capable and methanol-ready dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels

today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.
4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our earlier warning: synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

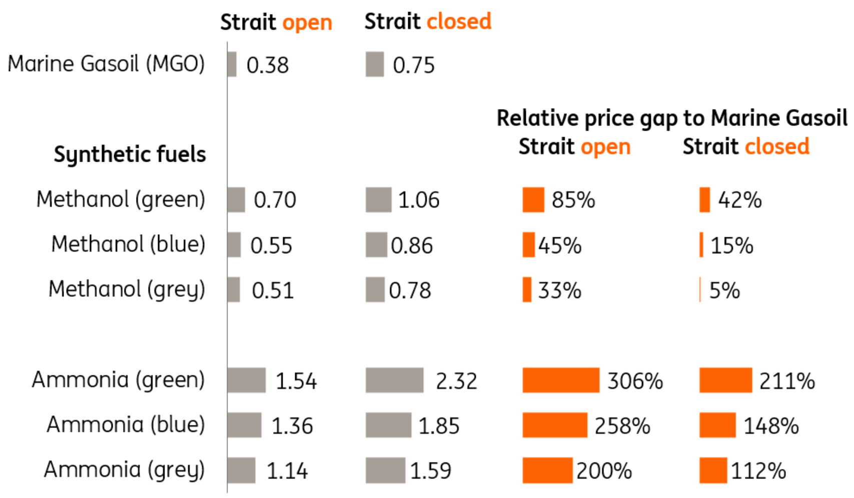
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy – rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol–oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised fuel costs in $/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still stuck in a pilot phase, blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolysers. This "blue-first, green-later" pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO2-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the "closest substitute" that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds

The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk - are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of $100 per tonne of CO2 for emissions within the baseline, and $380 for non-compliance (we discussed the details here). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil (MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO_2 (€/ton)	75	100
VLSFO ($/ton)	500	1,000
MGO ($/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the "colour" reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low carbon electricity.

For blue production routes, a CO2 capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO2/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolysers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we've used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = $1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

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Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING's CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We'll also be analysing the change of government in Hungary and what can be learned from Poland's political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. Sign up here

The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING's CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You'll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path

The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

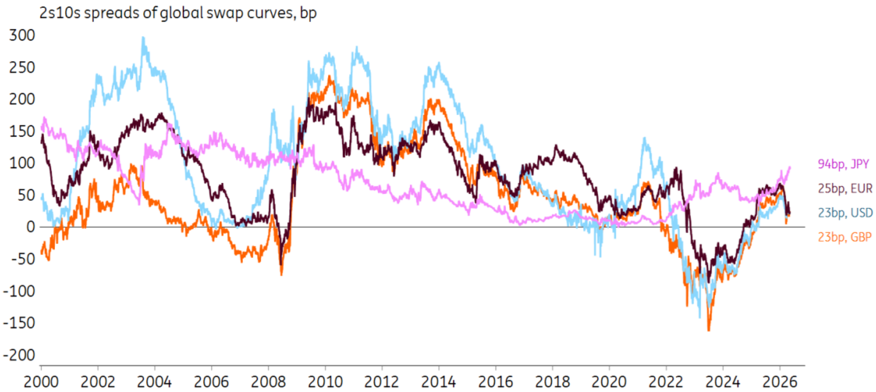
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

Global term premia are strongly correlated but domestic factors play a role too

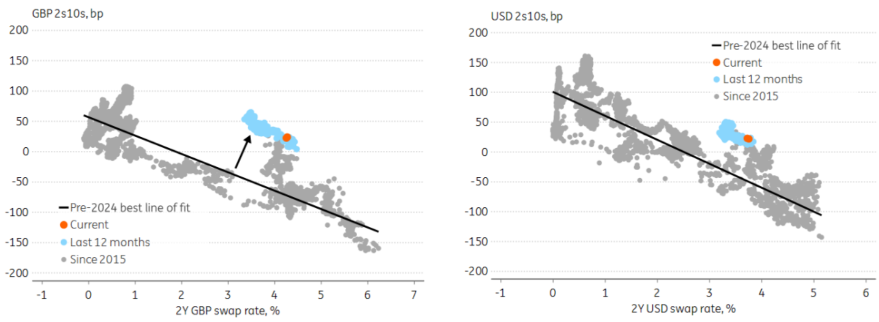


Source: ING estimates, Macrobond

Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve

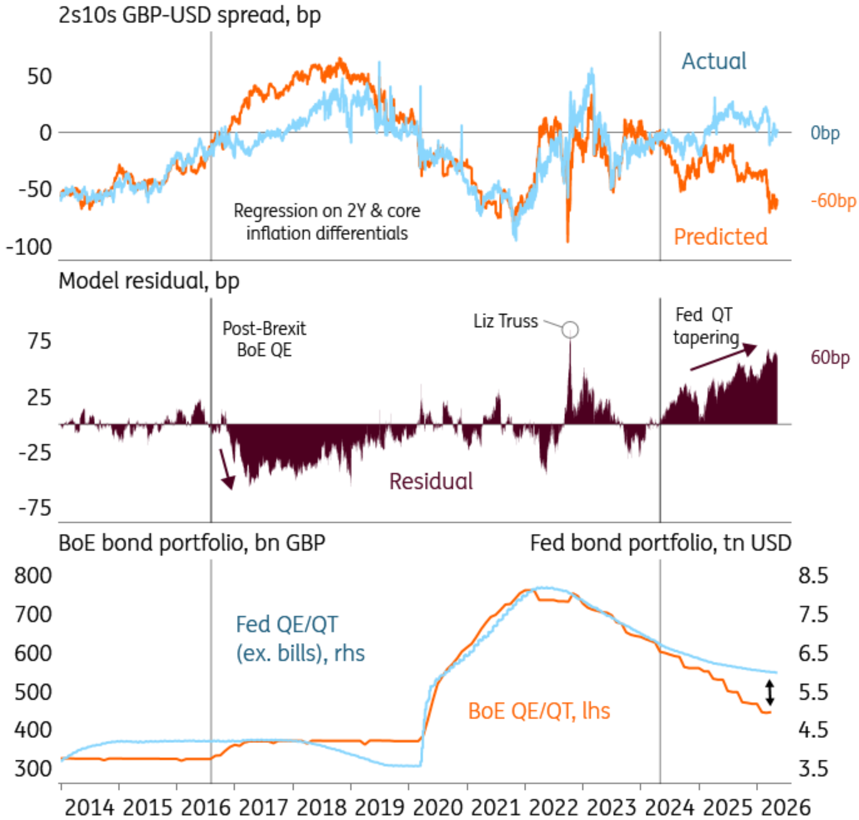


Source: ING estimates, Macrobond

We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Lizz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

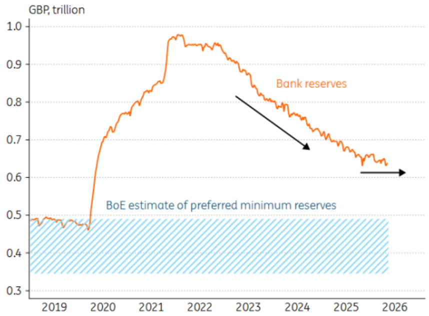


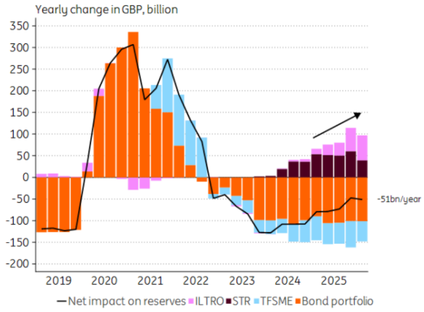
Source: ING, Macrobond

Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



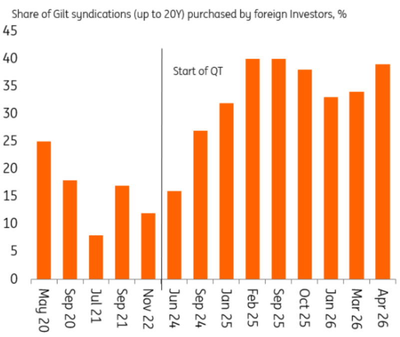


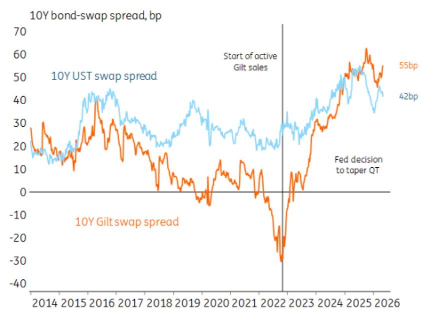
Source: ING estimates, Bank of England, Macrobond

With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields





Source: ING estimates, DMO, Macrobond

So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

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